11 Oct 2026 17:04:23 ET | 12 pages

# Shenzhen Inovance Technology (300124.SZ)

## Additional Color to ~20% YoY General Automation Order Growth in 3Q26

**CITI'S TAKE**

To let investors focus more on L-T business development than S-T order books, Inovance has changed the frequency of disclosing general automation order trend from monthly to quarterly as of Aug 2026. Mgmt. recently disclosed that 3Q26 general automation grew at ~20% YoY, lower than ~40% YoY in 2Q26 mainly due to 3Q25 high base, especially Aug 2025, and growth slowdown in the battery sector. **However, Sep 2026 YoY order growth picked up from Aug 2026 level, showing better-than-feared demand situation. Mgmt. saw stronger automation demand from the electronics, semiconductor, and AI-related sectors, and expects the strength to continue but thinks that demand growth from the battery sector could remain flat as the demand from this sector has been recovering since late 2024**. We maintain our Buy rating on Inovance for its continuous earnings recovery into 2H26 thanks to easy comparison in 2H25.

| Buy | |
|---|---|
| Price (09 Oct 26 15:00) | Rmb50.590 |
| Target price | Rmb76.000 |
| Expected share price return | 50.2% |
| Expected dividend yield | 1.2% |
| Expected total return | 51.4% |
| Market Cap | Rmb137,088M |
| | US$20,485M |

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**General automation** - As mgmt. indicated that the battery sector accounts for ~10% of total automation order (vs. 20% from overall AI-related sectors including semiconductor), we believe that potential growth slowdown in this sector should be manageable. The next industry data point to gauge the demand from the battery sector will be Sep 2026 monthly sales of Airtac (1590.TW, covered by Angela Hsu). (Figure 1)

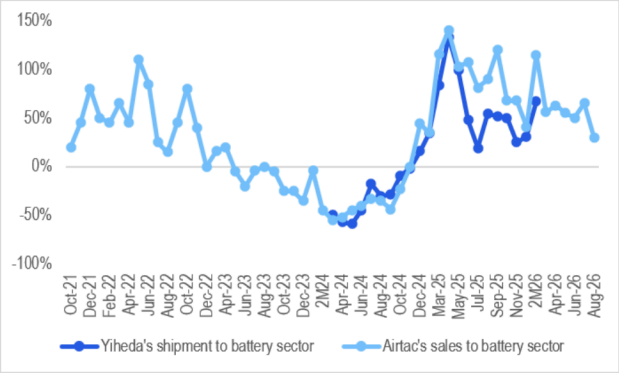
**Why do we think the market may be overly bearish about Inovance? -** While the market is concerned about higher revenue contribution from NEV powertrain (still 35% in 2Q26), the general automation revenue has surpassed NEV powertrain, becoming the biggest revenue stream since 1Q26. This favorable product mix change has led to sequential GPM improvement for Inovance despite continuous GPM contraction of the NEV powertrain business. (Figure 2) Inovance's earnings growth has also returned to the growth trajectory in 2Q26 despite loss-making NEV powertrain business. Mgmt. is not concerned about IGBT price hikes as overall semiconductor only accounts for <30% of NEV powertrain's COGS. (Figure 3)

**3Q/4Q26E forecasts** - We forecast Inovance to deliver 22% YoY earnings growth in 3Q26E on 15% YoY revenue growth and 3.2pp YoY GPM expansion. The earnings growth will accelerate to 98% YoY in 4Q26E due to investment loss-led low base in 4Q25. (Figure 4) (see Shenzhen Inovance Technology (300124.SZ) - What's New from China Industrial | SMID | Transport Conf 2026: NEV GPM Pressure Likely to Alleviate | Shenzhen Inovance Technology (300124.SZ) - YTD Laggard Resuming Positive Earnings Growth from 2Q26 Onwards; Reiterate Buy)

**See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations**

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**Figure 1. Indicators of automation demand from battery sector**

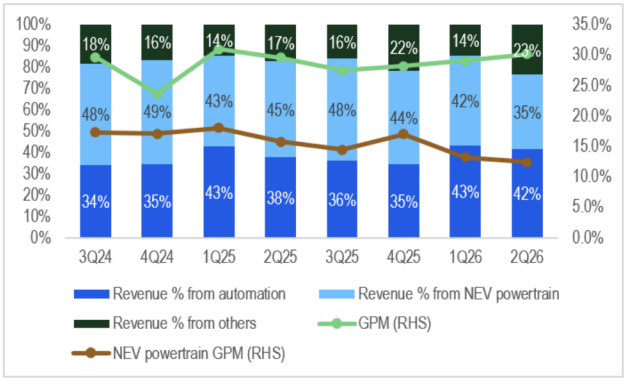



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*Yiheda has no longer disclosed shipment by industry since 2026

Source: Citi Research, Company Reports

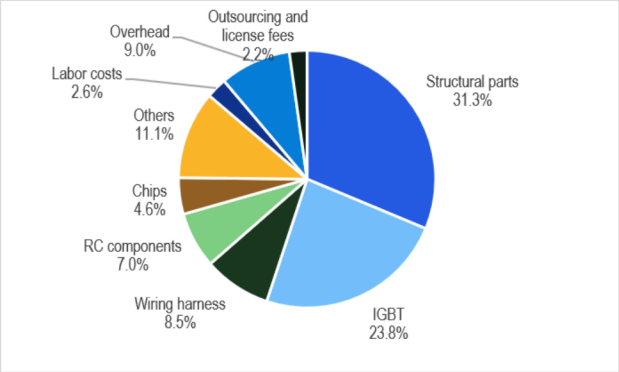
**Figure 2. Inovance: Revenue breakdown by product vs. GPM and NEV powertrain GPM**




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Source: Citi Research, Company Reports

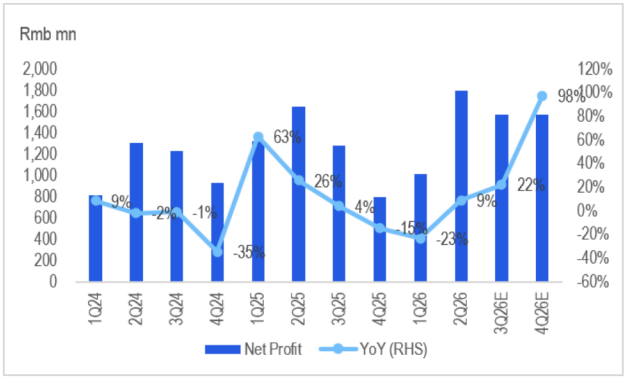
**Figure 3. Inovance: NEV powertrain COGS breakdown**




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Source: Citi Research, Company Reports

**Figure 4. Inovance: Quarterly net profit and YoY growth**




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Source: Company Reports and Citi Research Estimates

# Shenzhen Inovance Technology

## Valuation
Our target price for Inovance of Rmb76.0 is based on ~35x FY26E EPS of Rmb2.20, set at its long-term average P/E to reflect continuous general automation demand recovery.

## Risks
Key fundamental downside risks to the achievement of our target price are: 1) slower China automation demand recovery; 2) worse-than-expected elevator demand growth; 3) weaker-than-expected GPM.

# Airtac
(1590.TW; NT$1205.0; 1; 08 Oct 26; 13:30)

## Valuation
We derive our target price of NT$1,750 for Airtac by using a P/E methodology, as we believe the margin and earnings growth outlooks will be the key drivers of the stock. We apply a P/E of 27.5x for 2H26-1H27E, which we derive from the mid range of prior upcycle valuation 25-35x during 2021 in view of a strong upcycle with solid FA demand and ongoing share gains.

## Risks
Key downside risks that could impede the Airtac stock from reaching our target price include: 1) a softer-than-expected China macro economy, resulting in downside to our sales forecasts; 2) intensifying competition leading to gross margin pressures; and 3) slower-than-expected progress of its linear guide business, causing low utilization of capacity.

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# Appendix A-1

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## IMPORTANT DISCLOSURES

Airtac (1590.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu




| | Date | Rating | Target Price | Closing Price |
|---|---|---|---|---|
| 1 | 30-Apr-24 10:21:43 | 1 | *1,350.00 | 1,160.00 |
| 2 | 06-Sep-24 14:42:18 | 1 | *1,050.00 | 816.00 |
| 3 | 31-Jul-25 08:08:45 | 1 | *1,000.00 | 856.00 |
| 4 | 30-Oct-25 09:57:38 | 1 | *1,100.00 | 904.00 |
| 5 | 29-Jan-26 08:12:57 | 1 | *1,350.00 | 1,040.00 |
| 6 | 29-Apr-26 10:42:32 | 1 | *1,750.00 | 1,490.00 |

*Indicates Change

Rating/target price changes above reflect Eastern Time

Shenzhen Inovance Technology (300124.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang




| | Date | Rating | Target Price | Closing Price |
|---|---|---|---|---|
| 1 | 27-Oct-23 11:36:37 | 1 | *78.00 | 61.38 |
| 2 | 23-Apr-24 12:31:14 | 1 | *69.00 | 59.95 |
| 3 | 16-Jul-24 06:34:24 | *2 | *55.00 | 49.49 |
| 4 | 19-Nov-24 22:39:43 | *1 | *70.00 | 58.88 |
| 5 | 28-Jul-25 00:07:08 | 1 | *75.00 | 65.40 |
| 6 | 26-Aug-25 13:03:42 | 1 | *86.00 | 71.20 |
| 7 | 29-Apr-26 00:52:48 | 1 | *75.00 | 67.59 |
| 8 | 31-Aug-26 12:41:22 | 1 | *76.00 | 61.87 |

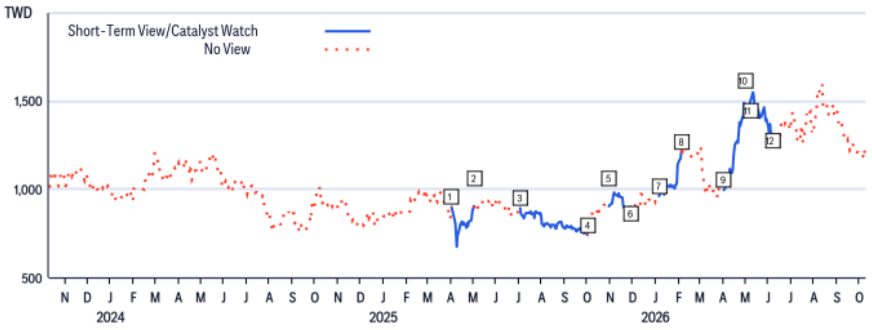
*Indicates Change

Rating/target price changes above reflect Eastern Time

Airtac (1590.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu




| | Date | Action | Expected Direction | Duration | Closing Price |
|---|---|---|---|---|---|
| 1 | 03-Apr-25 15:20:52 | Add CW | Upside | 30 Days | 900.00 |
| 2 | 02-May-25 14:22:25 | Remove CW | Upside | 30 Days | 905.00 |
| 3 | 03-Jul-25 02:23:51 | Add STV | Upside | 90 Days | 893.00 |
| 4 | 01-Oct-25 21:44:22 | Remove STV | Upside | 90 Days | 741.00 |
| 5 | 30-Oct-25 05:57:38 | Add STV | Upside | 30 Days | 904.00 |
| 6 | 28-Nov-25 12:04:22 | Remove STV | Upside | 30 Days | 903.00 |
| 7 | 05-Jan-26 10:25:45 | Add STV | Upside | 30 Days | 962.00 |
| 8 | 04-Feb-26 19:57:43 | Remove STV | Upside | 30 Days | 1,210.00 |
| 9 | 02-Apr-26 01:31:06 | Add STV | Upside | 30 Days | 996.00 |
| 10 | 01-May-26 14:16:41 | Remove STV | Upside | 30 Days | 1,455.00 |
| 11 | 07-May-26 05:36:56 | Add STV | Upside | 30 Days | 1,490.00 |
| 12 | 05-Jun-26 14:27:33 | Remove STV | Upside | 30 Days | 1,320.00 |

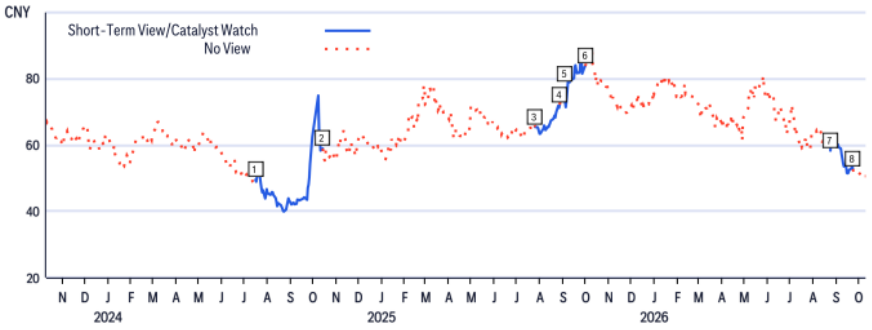
CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Shenzhen Inovance Technology (300124.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang




| | Date | Action | Expected Direction | Duration | Closing Price |
|---|---|---|---|---|---|
| 1 | 16-Jul-24 02:34:24 | Add CW | Downside | 90 Days | 49.49 |
| 2 | 14-Oct-24 23:28:31 | Remove CW | Downside | 90 Days | 58.91 |
| 3 | 27-Jul-25 20:07:08 | Add STV | Upside | 30 Days | 65.41 |
| 4 | 27-Aug-25 23:13:11 | Remove STV | Upside | 30 Days | 72.15 |
| 5 | 03-Sep-25 08:39:15 | Add STV | Upside | 30 Days | 73.07 |
| 6 | 03-Oct-25 14:14:50 | Remove STV | Upside | 30 Days | 83.82 |
| 7 | 24-Aug-26 09:04:48 | Add STV | Upside | 30 Days | 58.30 |
| 8 | 23-Sep-26 23:04:35 | Remove STV | Upside | 30 Days | 52.72 |

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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|---|---|---|---|---|---|---|
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